

PART-A: Accounting for Partnership Firms and Companies

UNIT – I: Accounting for Partnership Firms

CHAPTER-1: Basics of Partnership

Topic-1: Meaning of Partnership, Partnership Deed & Partners' Capital Accounts

Concepts Covered:

- Meaning of Partnership
- Features/Characteristics of Partnership
- Concept and contents of Partnership deed
- Methods of maintaining Capital Accounts of Partners

Revision Notes:

Meaning of Partnership: According to Indian Partnership Act, 1932, "Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all." The Act also explains that persons who have entered into partnership with one another are individually called "partners" and collectively "a firm."

Characteristics of Partnership:

1. Association of two or more than two persons: There must be at least two persons competent for agreement.
2. Maximum number of partners: Rule 10 of Company (Miscellaneous) Rules, 2014, limits partnerships to not more than 50 persons.
3. Existence of an agreement: Partnership arises from a contract (oral or written), not from status.
4. Existence of business: Business must be lawful and aim to earn profit.
5. Sharing of Profit: Agreement must include sharing profits and losses. Charitable activities are not partnerships.
6. Liability of Partners: Each partner is jointly and severally liable to third parties for firm's acts. Private assets can be used to pay firm's debts.

Partnership Deed: An agreement between partners defining their mutual contractual relationship and its limitations for effective business operation. It contains rules and conditions and can be registered or unregistered. It should be comprehensive to avoid disputes.

Fundamental Fact: Partnership Business in India is regulated by the India Partnership Act 1932.

Contents of Partnership Deed:

1. Name and address of all Partners
2. Name and address of the Firm
3. Nature and place of the Business
4. Capital to be contributed by each Partner
5. Rate of Interest on Capital
6. Drawings allowed to the Partners
7. Rate of Interest on Drawings
8. Profit and Loss Sharing Ratio
9. Partner's Salary and Commission
10. Method of Valuation of Goodwill
11. Settlement on Dissolution of Firm
12. Duration of Partnership
13. Methods of valuation of Assets and Liabilities
14. Lending and Borrowing by the Partners
15. Admission and Retirement of Partners
16. Duties of Partners
17. Death of a Partner and his legal representative
18. Insurance and its distribution
19. Relinquishment of Partnership
20. Arbitration Clause
21. Maintenance of Accounts and their Audit
22. Settlement of Disputes of the business
23. Treatment of loss arising out of insolvency of one or more partners

Applicable provisions of the Indian Partnership Act, 1932 in the absence of Partnership Deed:

1. Interest on partner's loan: 6% p.a.
2. Interest on capital: Not allowed.
3. Interest on drawings: Not charged.
4. Salary or remuneration or commission: Not allowed to any partner.
5. Profit distribution: Equally.

Example 1: Ram and Shyam are partners; no partnership deed. (i) Shyam advanced ` 1,00,000 loan, demanding 12% p.a. interest. Ram agrees to 6% p.a. (ii) Ram, active partner, demands remuneration. Shyam refuses. (iii) Shyam wants 10% p.a. interest on capital. Ram refuses. (iv) Ram wants to charge 12% p.a. interest on drawings. Shyam refuses.

Ans.: (i) Ram is correct. In absence of deed, interest on partner's loan is 6% p.a. (ii) Ram will not be paid remuneration. In absence of deed, no salary to partner. (iii) Interest on capital will not be charged. Ram is correct. (iv) Interest on drawings will not be charged. Shyam is correct.

Methods of Maintaining Capital Accounts of Partners: There are two methods:

1. Fluctuating Capital:
 - Changes with additions/withdrawals, interest on capital, profit, salary, commission (credit side), and interest on drawings, drawings (debit side).
2. Fixed Capital:
 - Original capital remains constant unless additional capital is introduced or withdrawn by agreement.
 - All entries (drawings, interest on capitals, interest on drawings, salary, profit/losses) are made in a separate Current Account.
 - Current account may show a debit or credit balance.

Fundamental Fact: LLP Stands for Limited Liability Partnership in which the liability of all the partners (except one partner) is limited.

Topic-2: Preparation of Profit and Loss Appropriation Account and Treatment of Goodwill

Concepts Covered:

- Division of profits among partners
- Preparation of profit and loss appropriation account
- Calculation of appropriation and charge items
- Adjustment of past adjustments
- Guarantee of profit
- Treatment of goodwill

Revision Notes:

Division of Profits among Partners: The Profit and Loss Appropriation Account is an extension of the Profit and Loss Account. It makes adjustments for interest on capitals, interest on drawings, partners' salaries, etc., as per the partnership agreement. The balance is distributed among partners in their agreed ratio.

Journal Entries for Profit and Loss Appropriation Account:

1. Transfer of balance of Profit and Loss Account:

- (a) If Net Profit (Credit balance):

Profit & Loss A/c Dr.
To Profit & Loss Appropriation A/c
(Being transfer of net profit to Profit & Loss Appropriation A/c)

- (b) If Net Loss (Debit balance):

Profit & Loss Appropriation A/c Dr.
To Profit & Loss A/c
(Being transfer of net loss to Profit & Loss Appropriation A/c)

2. Interest on Capitals:

- (a) For crediting interest to Partners' Capital Accounts:

Interest on Capital A/c Dr.
To Partners' Capital/Current A/cs
(Being interest on capital at ____% p.a. allowed to partners)

- (b) For transferring interest to Profit and Loss Appropriation Account:

Profit & Loss Appropriation A/c Dr.
To Interest on Capital A/c
(Being interest on capital transferred to Profit & Loss Appropriation A/c)

3. Partners' Salary/Commission:

- (a) For crediting salary/commission to Partners' Capital Accounts:

Salary/Commission A/c Dr.
To Partners' Capital/Current A/cs
(Being ____ Salary/Commission allowed to ____ partner for ____ months)

- (b) For transferring to Profit and Loss Appropriation Account:

Profit and Loss Appropriation A/c Dr.
To Salary/Commission A/c
(Being Salary/Commission transferred to Profit and Loss Appropriation Account)

4. Interest on Drawings:

- (a) For charging interest on drawings:

Partners' Capital/Current A/cs Dr.
To Interest on Drawings A/c
(Being interest on drawings at ____% p.a. charged)

- (b) For transferring interest to Profit & Loss Appropriation Account:

Interest on Drawings A/c Dr.
To Profit & Loss Appropriation A/c
(Being interest on drawings transferred to Profit & Loss Appropriation A/c)

5. Transfer of Profit to Reserve:

Profit & Loss Appropriation A/c Dr.
To Reserve A/c
(Being profit transferred to Reserve A/c)

6. Share in Profit:

Profit & Loss Appropriation A/c Dr.
To Partners' Capital/Current A/cs
(Being distribution of profit among partners)

Proforma of Profit & Loss Appropriation Account:

Dr. Particulars	Amount (₹)	Cr. Particulars	Amount (₹)
To Partner's Capital A/c (Salaries)	...	By Net Profit (Profit shown by P&L A/c)	...
To Partner's Capital A/c (Commission)	...	By Partner's Capital/Current A/c (Interest on Drawings)	...
To Partner's Capital A/c (Interest on Capital)	...		
To General Reserve A/c	...		
To Profit transferred to: Partners' Capital/Current A/cs	...		
Total	xxxxx	Total	xxxxx

Profit and Loss Appropriation Account is prepared for partnership adjustments and to ascertain net profits for distribution. It determines individual partner profits.

Example 2: On 1.4.2013, Brij and Nandan entered into partnership to construct toilets in government girls schools in Uttarakhand. Capitals: Brij 10,00,000, Nandan 15,00,000. Profit sharing ratio: 2:3. Interest on capitals: 12% p.a. Firm earned a profit of ` 2,00,000 for the year ended 31.3.2014. Prepare Profit and Loss Appropriation A/c.

Ans.: In the books of Brij and Nandan Profit & Loss Appropriation Account Dr. for the year ended 31st March, 2014 Cr.

Particulars	Amount (₹)	Particulars	Amount (₹)
To Interest on Capital:		By Net Profit b/d	2,00,000
Brij's Capital A/c	80,000		
Nandan's Capital A/c	1,20,000		
	2,00,000		
Total	2,00,000	Total	2,00,000

Working Notes:

- Interest on capital of Brij = 10,00,000 * 12% = 1,20,000
- However, the actual profit is ` 2,00,000. Since interest on capital is an appropriation of profit and not a charge, it cannot exceed the available profit.
- Total interest required = 1,20,000 (Brij) + 1,80,000 (Nandan) = ` 3,00,000.
- Available profit = ` 2,00,000.
- Interest will be allowed in the ratio of required interest: Brij (1,20,000) : Nandan (1,80,000) = 2:3.
- Brij's interest = 2,00,000 * (2/5) = 80,000
- Nandan's interest = 2,00,000 * (3/5) = 1,20,000

Interest on Capital: Calculated at the agreed rate:

Interest on Capital = Capital Invested × $\frac{\text{Rate of Interest}}{100}$

- Interest is provided for the full year on opening capital.
- Interest on additional capital is calculated from the date of introduction.

- If closing capital is given:

Capital at the end of the year (Closing Capital) × X
Add: Drawings made during the year A
Share of loss debited for the year B

(X+A+B)
Less: Additional capital introduced during the year C
Share of profit credited for the year D

Capital at the beginning of the year (Opening capital) Y

Interest is calculated on ` Y.

Note:

- If interest on capital is not mentioned in the deed, partners receive no interest.
- In case of loss, interest on capital is not considered.
- If profit is insufficient, interest on capital will not exceed the profit amount (unless agreed to be a charge).
- If interest on capital is agreed but unclear if it's appropriation or charge, it's provided only if there's profit.

Interest on Drawings: Methods for calculation:

1. Simple Interest Method: Interest is calculated on each drawing from its date to the closing date.

$$\text{Interest on Drawings} = \frac{\text{Drawings Amount} \times \text{Rate} \times \text{Time}}{100 \times 12}$$

2. Product Method:

$$\text{Interest on Drawings} = \frac{\text{Total of Product} \times \text{Rate} \times \text{Time}}{100 \times 12}$$

3. Average Period Method: Used for uniform amounts at uniform intervals.

$$\text{Interest on Drawings} = \text{Total drawings} \times \frac{\text{Rate of Interest}}{100}$$

$$\text{Average Period} = \frac{\text{Number of months after first draw}}{2}$$

Case (A): Equal Amount withdrawn at regular intervals every month:

- Beginning of every month:
 - Average period = $(12+1)/2 = 6.5$ months
 - Interest = Total Drawings $\times$ (Rate/100) $\times$ (6.5/12)
- Middle of every month:
 - Average Period = $(11.5+0.5)/2 = 6$ months
 - Interest = Total Drawings $\times$ (Rate/100) $\times$ (6/12)
- End of every month:
 - Average Period = $(11+0)/2 = 5.5$ months
 - Interest = Total Drawings $\times$ (Rate/100) $\times$ (5.5/12)

Case (B): Fixed Amount withdrawn Quarterly:

- Beginning of each quarter:
 - Average Period = $(12+3)/2 = 7.5$ months
 - Interest = Total Drawings $\times$ (Rate/100) $\times$ (7.5/12)
- End of each quarter:
 - Average Period = $(9+0)/2 = 4.5$ months
 - Interest = Total Drawings $\times$ (Rate/100) $\times$ (4.5/12)
- Middle of every quarter:
 - Average Period = $(10.5+1.5)/2 = 6$ months
 - Interest = Total Drawings $\times$ (Rate/100) $\times$ (6/12)

NOTE:

- If the date of withdrawal is not given, interest on total drawings for the year is calculated for six months on an average basis.
- If the percentage of interest on drawings is not mentioned in the partnership deed, the firm will not charge any interest.

Salary or Commission and Rent paid to a Partner:

- Allowed if partnership agreement provides for it.
- Appropriation of profits: Salary/commission are appropriations, allowed only if there are profits. Debited to Profit and Loss Appropriation Account.

Commission Calculation:

1. Before charging such commission:

$$\text{Commission} = \text{Net Profit before Commission} \times \frac{\text{Rate}}{100}$$

2. After charging such commission:

$$\text{Commission} = \text{Net Profit before commission} \times \frac{\text{Rate}}{100}$$

- Note: Charges (interest on partner's loans, manager's salary and commission) are deducted from profit before transferring to P&L Appropriation Account.

- Rent Paid to a Partner: A charge against profit, debited to Profit and Loss Account. Credited to Partner's Current Account (fixed capitals) or Partner's Capital Account (fluctuating capitals).

Example 3: Himanshu and Mayank are partners sharing profits in ratio of 5:3. Himanshu withdraw:

- 1st May, 2018: ₹ 20,000
- 1st June, 2018: ₹ 10,000
- 1st Nov., 2018: ₹ 5,000
- 1st Dec., 2018: ₹ 5,000 Calculate interest on drawings @ 6% p.a. on 31st March, 2019.

Ans.: Calculation of Interest on Drawings

Date	Amount (₹)	Period (Months)	Product (₹)
May 1, 2018	20,000	11	2,20,000
June 1, 2018	10,000	10	1,00,000

Date	Amount (₹)	Period (Months)	Product (₹)
Nov. 1, 2018	5,000	5	25,000
Dec. 1, 2018	5,000	4	20,000
Total			3,65,000

$$\text{Interest on Drawings} = \text{Total Product} \times \frac{\text{Rate}}{100} \times \frac{1}{12}$$

$$\text{Interest on Drawings} = 3,65,000 \times \frac{6}{100} \times \frac{1}{12} = ₹ 1,825$$

Interest on Partner's Loan to Firm:

- Paid at the rate mentioned in the deed.
- If deed is silent, 6% p.a. (Section 13(d) of Indian Partnership Act).

Sharing of Profit & Loss: Generally, distributed as per partnership deed.

1. Fixed ratio: E.g., 2:3:5 or fractions.
2. In ratio of Capital: Deed specifies method (original capital, beginning capital, end capital, average capital).
3. Equal ratio: If deed is silent. E.g., 1:1:1.
4. Separate ratio: Profit ratio and loss ratio agreed separately.

Past Adjustments: Errors or omissions (interest on capital/drawings, salary, commission) discovered after accounts preparation. Corrected via:

1. Profit & Loss Adjustment Account:

- For items to be credited to Partners' Capital/Current A/cs:

Profit & Loss Adjustment A/c Dr.
To Partners' Capital/Current A/cs
(Being adjustment made for previously omitted, now carried out)

- For items to be debited to Partners' Capital/Current A/cs:

Partners' Capital / Current A/cs Dr.
To Profit & Loss Adjustment A/c
(Being adjustment made for previously omitted, now carried out)

- For net profit/loss on adjustments:

- (a) In case of profit:

Profit & Loss Adjustment A/c Dr.
To Partners' Capital /Current A/cs
(Being profit on adjustments transferred to partners' capital/current accounts)

- (b) In case of loss:

Partners' Capital / Current A/cs Dr.
To Profit & Loss Adjustment A/c
(Being loss on adjustment transferred to partners' capital/current accounts)

2. Without Preparation of Profit & Loss Adjustment Account:
 - A statement shows adjustments. Net impact determines a single adjusting journal entry.

Adjustment Chart (Example for 3 partners):

Particulars	A (+)	B (+)	C (+)
Interest on Capital	+	+	+
Partner's Salary / Commission	+	+	+
Interest on Drawings	-	-	-
Excess amount taken back in their P & L sharing ratio	+	+	+

- + means Credit the partner's capital account.
- - means Debit the partner's capital account.

Example 4: Monu, Nitin and Paras invested ₹ 50,000 each.

Profits for 3 years: 15,000, 25,000, 50,000. Profits were wrongly distributed in 1:1:2 ratio. It was decided to distribute profits equally for the last three years. Pass adjustment entry.

Ans.: In the Books of Monu, Nitin and Paras Journal Entry

Date	Particulars	L.F.	Amount Dr. (₹)	Amount Cr. (₹)
	Paras's Capital A/c	Dr.	15,000	
	To Monu's Capital A/c			7,500
	To Nitin's Capital A/c			7,500
	(Being profit adjusted)			

Working Note: Statement Showing Adjustment of Profits

Particulars	Monu (₹)	Nitin (₹)	Paras (₹)	Total (₹)
1. Profit wrongly distributed in 1:1:2 (Dr.)	22,500	22,500	45,000	90,000

Particulars	Monu (₹)	Nitin (₹)	Paras (₹)	Total (₹)
2. Profit to be shared correctly in 1:1:1 (Cr.)	30,000	30,000	30,000	90,000
Adjustment	7,500	7,500	(15,000)	—

Guarantee of Profits: An assurance to a partner that a fixed amount of profit will be given, irrespective of actual earnings.

- If actual profit < guaranteed amount, deficit is borne by the firm or specified partners.
- If actual profit > guaranteed amount, partner receives the actual amount.

1. Guarantee by all partners (Old Ratio or Specific Ratio):
 - Guaranteed amount transferred to P&L Appropriation A/c.
 - Remaining profits distributed among remaining partners in their ratio.
2. Guarantee by one partner to another:
 - Guaranteed amount calculated.
 - Deficiency borne by the guaranteeing partner(s) and subtracted from their shares.
3. Guarantee by a partner to the firm:
 - Deficient amount calculated.
 - Partner's Capital A/c debited, P&L A/c credited with deficient amount.
 - Total new profit (original + deficient) distributed among all partners.

Goodwill: An intangible asset arising from the reputation and extra earning capacity of the firm. Factors affecting goodwill: Competent management, favorable location, contracts, past performance, product quality, nature of business.

Need for valuation of Goodwill:

1. Admission of a new partner.
2. Retirement/death of a partner.
3. Change in profit sharing ratio.
4. Sale of goodwill during dissolution.

Methods of Valuation of Goodwill:

1. Average Profit Method:

- Goodwill is valued based on average profits of past few years.
- Adjustments to past profits:
 - Non-recurring/casual income: Deducted.
 - Abnormal loss/non-recurring expense: Added back.
 - Mistakes: Corrected.
 - Expected future income: Added.
 - Expected future expense: Reduced.

$$\text{Goodwill} = \text{Average Profit} \times \text{No. of Years' Purchase}$$

- Use simple average unless profits show a constant increasing/decreasing trend, then use weighted average.

2. Super Profit Method:

- Goodwill based on annual super profit.

$$\text{Goodwill} = \text{Annual Super Profit} \times \text{Number of Years' Purchase}$$

$$\text{Normal Profit} = \frac{\text{Average Capital Employed} \times \text{Normal Rate of Return}}{100}$$

$$\text{Super Profit} = \text{Actual Average Profit} - \text{Normal Profit}$$

- If Normal Profit > Average Profit, Super Profit is zero, hence goodwill is zero.

3. Capitalisation Method:

- Goodwill computed by capitalizing profits.
- (a) Capitalisation of Average Profit Method:

$$\text{Capitalised Value} = \frac{\text{Actual Average Profit}}{\text{Normal Rate of Return}} \times 100$$

- Net Assets = All Assets (excluding goodwill, non-trade investments, fictitious assets) at current values - outside liabilities.

$$\text{Goodwill} = \text{Capitalised Value} - \text{Net Assets (or Capital)}$$

- (b) Capitalisation of Super Profit Method:

$$\text{Goodwill} = \frac{\text{Super Profit}}{\text{Normal Rate of Return}} \times 100$$

CHAPTER-2: Reconstitution of Partnership Firm: Change in Profit Sharing Ratio

Revision Notes:

Change in Profit Sharing Ratio: Occurs when one or more partners acquire interest from another partner(s), leading to a change in the existing profit sharing ratio.

Adjustments required:

1. Determination of sacrificing ratio and gaining ratio.
 2. Accounting treatment of Goodwill.
 3. Revaluation of assets and reassessment of liabilities.
 4. Accounting treatment of reserves, accumulated profits or losses.
- It's important to determine sacrificing and gaining ratios because gaining partners compensate sacrificing partners for goodwill.

Sacrificing ratio: The ratio in which partner(s) sacrifice their share of profit.

Sacrificing Ratio = Old share – New share

Gaining ratio: The ratio in which partners gain an additional share in future profits.

Gaining ratio = New share – Old share

Fundamental Fact: A business partnership is like a marriage. But marriages are complicated, business partnerships even more so. In fact, whereas 50% of marriages end in divorce, the number is closer to 80% for business partnerships. And it's exponentially more difficult if you happen to have more than one partner.

Accounting Treatment for Goodwill:

- Gaining partner(s) must compensate sacrificing partner(s) for goodwill in the gaining ratio.
- Journal Entry:

```
Gaining Partner's Capital A/c
Dr. (In gaining ratio)
    To Sacrificing Partner's Capital A/c
    (Being adjustment made for Goodwill)
```

Revaluation of Assets and Re-assessment of Liabilities:

- Assets and liabilities are revalued.
- Difference between existing and revalued amount transferred to Revaluation Account.
- Balance of Revaluation Account transferred to Partners' Capital/Current Accounts in old profit sharing ratio.

Accounting Treatment of Reserves, Accumulated Profits or Losses:

- Existing reserves or accumulated profit/loss are transferred to Partners' Capital/Current A/c.

1. For transfer of Reserves and Accumulated Profits:

```
Reserve/P & L A/c
Dr.
    Workmen's Compensation Reserve A/c
    Dr.
    Investments Fluctuation Reserve A/c
    Dr.
        To All Partners' Capital/Current A/cs
```

2. For transfer of Accumulated Losses:

```
All Partners' Capital/Current A/cs
Dr.
    To Profit and Loss A/c
    To Deferred Revenue Expenditure A/c
```

Example 1: A, B, C share profits equally. Due to increased business, B devoted more time. A and C agreed to new ratio 1:2:1. Goodwill valued at two years' purchase of average profits of last five years. Profits: I: 4,00,000, II: 4,80,000, III: 7,33,000, IV: (Loss) 33,000, V: 2,20,000. (i) Calculate Goodwill. (ii) Pass Journal Entry for goodwill treatment.

Ans.: Step 1: Calculation of Goodwill: $\$ \$ \text{Average Profits} = \frac{4,00,000 + 4,80,000 + 7,33,000 - 33,000 + 2,20,000}{5} = \frac{18,00,000}{5} = \text{₹ } 3,60,000$
 $\text{Goodwill} = \text{Average Profit} \times \text{No. of years' purchase} = 3,60,000 \times 2 = \text{₹ } 7,20,000$

Step 2: Calculation of Sacrificing/Gaining Ratio:

- Old Ratio: A=1/3, B=1/3, C=1/3
- New Ratio: A=1/4, B=2/4=1/2, C=1/4
Sacrificing Ratio = Old Ratio – New Ratio
- A = 1/3 - 1/4 = (4-3)/12 = 1/12 (Sacrifice)
- B = 1/3 - 2/4 = (4-6)/12 = -2/12 (Gain)
- C = 1/3 - 1/4 = (4-3)/12 = 1/12 (Sacrifice)

Step 3: Calculation of Proportionate amount of Goodwill adjusted among partners:

- A's share = 7,20,000 × (1/12) = 60,000
- B's share = 7,20,000 × (2/12) = 1,20,000
- C's share = 7,20,000 × (1/12) = 60,000

Step 4: Journal entry to adjust the goodwill: Journal Entry

Date	Particulars	L.F.	Amount Dr. (₹)	Amount Cr. (₹)
	B's Capital A/c	Dr.	1,20,000	
	To A's Capital A/c			60,000
	To C's Capital A/c			60,000
	(Being adjustment made for goodwill among the partners)			

CHAPTER-3: Reconstitution of a Partnership Firm: Admission of a Partner

Topic-1: Admission of a Partner and Treatment of Goodwill

Concepts Covered:

- Concept of admission of a new partner
- Rights acquired by the new partner
- Calculation of new profit sharing ratio
- Change in profit sharing Ratio
- Accounting treatment of goodwill

Revision Notes:

Admission of a Partner: When a new partner enters the partnership with consent of all existing partners.

Rights acquired by the new partner:

1. Right to Share in Firm's Assets: Based on capital brought in.
2. Right to Share the Future Profits of the Firm: Old partners sacrifice profit for the new partner.

Fundamental Fact: If you need to bring in a business partner, make sure your partner brings along some money.

Modification in Profit Sharing Ratio: Old partners sacrifice some part of their share, requiring recalculation of profit sharing and sacrificing ratios.

New Profit Sharing Ratio: The ratio in which old partners, including the new partner, share profits or losses.

Calculating New Profit Sharing Ratio:

- Case 1: Only new partner's share is given.
 - Assume old partners continue to share remaining profits in their old ratio.
 - New partner's share is deducted from total share (1), remaining divided among old partners in their old ratio.
- Case 2: Old partners' sharing ratio and new partner's sharing ratio is given.
 - New share of old partners calculated by deducting the share given to the new partner from their original share.
- Case 3: Old partners' sharing ratio is equal.
 - New share of old partners calculated by deducting the equal share given to the new partner from their original share.
- Case 4: Surrender fraction value of old partners is given.
 - Shares surrendered by old partners are added to get the new partner's share.
 - Surrendered share is deducted from old partners' respective shares to find their new shares.
- Case 5: Old partners agree to share in a different relative ratio in the new firm.
 - The combined share of old partners is distributed among them in the new agreed relative ratio.

Sacrificing Ratio: The ratio in which old partners sacrifice profit for the incoming partner.

Calculating Sacrificing Ratio:

- Case 1: Old and new profit sharing ratios are given.
 - Sacrifice = Old Share – New Share
 - The ratio of these sacrifices is the sacrificing ratio.
- Case 2: Old profit sharing ratio and new partner's share is given.
 - New partner's share is deducted from total profit (1); balance divided among old partners in their old ratio to get new shares.
 - Old shares minus new shares gives the sacrifice. The old profit sharing ratio is often the sacrificing ratio in this case.
- Case 3: Sacrificing ratio of old partners is given.
 - The given ratio is the sacrificing ratio.
- Case 4: Receiving of share is predefined on the basis of sacrificing ratio.
 - Sacrifice of old partners is deducted from their old share to calculate new share.

Example 1: Ravi and Balveer share profits 7:3. Ravi sacrifices 2/10th, Balveer sacrifices 1/10th for Priya. Calculate new profit sharing ratio and sacrificing ratio.

Ans.:

- Old ratio = 7:3
- Ravi's new share = 7/10 - 2/10 = 5/10
- Balveer's new share = 3/10 - 1/10 = 2/10
- Priya's share = 2/10 + 1/10 = 3/10
- New profit sharing ratio = 5:2:3
- Sacrificing ratio = 2:1

Key Words:

- Goodwill in kind: When a partner brings goodwill in the form of an asset instead of cash.
- Hidden goodwill: Goodwill not directly disclosed, calculated based on partners' capitals.

Topic-2: Revaluation of Assets and Liabilities, Treatment of Accumulated Profits and Losses and Adjustment of Partners' Capital Accounts

Concepts Covered:

- Accounting Treatment of Revaluation of Assets and Reassessment of Liabilities
- Accounting Treatment of Accumulated Profits and losses
- Adjustment of Partners' Capital Accounts

Revision Notes:

Revaluation of Assets and Liabilities:

- On admission of a new partner, assets and liabilities are revalued.
- Profit or loss on revaluation is transferred to old partners' capital/current accounts in old profit sharing ratio.

Accounting Treatment of Accumulated Profits and Losses:

- All accumulated profit/loss and reserves are transferred to old partners' capital/current accounts in their old profit sharing ratio.

Example 2: Ram and Mohan partners, ratio 4:1. Admitted Sohan for 1/3rd share on 01-04-2021. P&L A/c showed 32,000 (Dr.) and reserve of 1,00,000. Pass journal entries.

Ans.: In the books of Ram and Mohan Journal Entries

Date	Particulars	L.F.	Amount Dr. (₹)	Amount Cr. (₹)
	Ram's Capital A/c	Dr.	25,600	
	Mohan's Capital A/c	Dr.	6,400	
	To Profit & Loss A/c			32,000
	(Being Accumulated Loss Transferred in 4:1 ratio)			
	Reserve A/c	Dr.	1,00,000	
	To Ram's Capital A/c			80,000
	To Mohan's Capital A/c			20,000
	(Being reserve transferred to Partner Capital A/c in old profit sharing ratio)			

Adjustment of Capital: Partners may agree to adjust capitals proportionate to their new profit sharing ratio.

Ways to adjust capitals:

- Adjusting old partners' capitals based on new partner's capital:

Steps:

- (i) Calculate Total Capital of the firm = New partner's capital × Reciprocal of his profit share.
- (ii) Calculate New Capitals of all partners by dividing total capital by new ratio.
- (iii) Prepare Old Partners' Capital A/cs (after all adjustments) to find actual balances.
- (iv) Compare (ii) and (iii) to find surplus or deficiency.
- (v) Surplus/deficiency adjusted via Cash/Bank or Current A/c. Default: Cash/Bank unless agreement specifies Current A/c.

Journal Entries (Cash/Bank Adjustment):

- (a) Deficiency in capital:

Cash/Bank A/c Dr.
To Respective Partners' Capital A/cs
(Being more capital brought in by partner(s) to meet capital requirement for their share in profits)

- (b) Surplus in capital:

Respective Partners' Capital A/cs Dr.
To Cash/Bank A/c
(Being excess amount of capital withdrawn by partner(s) for proportionate share in profits)

Journal Entries (Current A/c Adjustment):

- (a) Deficiency in capital:

Respective Partner's Current A/c Dr.
To Respective Partner's Capital A/c
(Being deficiency in capital adjusted through current accounts)

- (b) Surplus in capital:

Respective Partner's Capital A/c Dr.
To Respective Partner's Current A/c
(Being excess capital transferred to partners' current account)

- (vi) If goodwill not brought in cash, it can be adjusted through new partner's capital A/c (reduces capital) or current A/c (doesn't affect original capital).

- Finding new partner's capital based on old partners' capital:

Steps:

- (i) Prepare old Partners' Capital A/cs (after all adjustments).
- (ii) Calculate Total Capital of the firm = (Combined adjusted capital of old partners) × (Reciprocal of their combined share of profit).
- (iii) New partner's capital = His share of total capital.
- (iv) If goodwill not brought in cash by new partner, debit it to his Capital Account for accurate calculation.

Key Words:

- Investment fluctuation fund: Fund from profits to meet market value fluctuation risk of investment.
- Employee's provident fund: Scheme for monetary benefits to salaried individuals after retirement; a liability of the firm.

Example 3: Geet and Preet partners, ratio 7:3. Admitted Meet for 1/4th share on 1st April, 2019. Meet brought 4,30,000 capital and 25,000 goodwill premium. Balance Sheet on 1st April, 2019:

Liabilities	Amount (₹)	Assets	Amount (₹)
Capitals:		Land and Building	3,50,000
Geet	8,00,000	Machinery	4,50,000
Preet	3,50,000	Debtors	2,20,000
	11,50,000	Less: Provision	(20,000)
General Reserve	1,00,000		2,00,000
Workmen's Compensation Fund	1,00,000	Stock	3,60,000
Creditors	1,60,000	Cash	1,50,000
Total	15,10,000	Total	15,10,000

Agreed: (i) Land and Building appreciated by 20%. (ii) Machinery depreciated by 10%. (iii) Workmen's Compensation Fund liability ₹ 50,000. (iv) Capitals of Geet and Preet adjusted based on Meet's capital, cash brought in/paid off. Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet.

Ans.: In the Books of Geet, Preet and Meet Revaluation Account Dr. Cr.

Particulars	Amount (₹)	Particulars	Amount (₹)
To Machinery A/c (₹ 4,50,000 * 10%)	45,000	By Land and Building A/c (₹ 3,50,000 * 20%)	70,000
To Profit on Revaluation transferred to Partners' Capital A/cs:			
Geet (7/10)	17,500		
Preet (3/10)	7,500		
	25,000		
Total	70,000	Total	70,000

Partners' Capital Accounts Dr. Cr.

Particulars	Geet (₹)	Preet (₹)	Meet (₹)	Particulars	Geet (₹)	Preet (₹)	Meet (₹)
To Cash A/c (balancing figure)	37,000	23,000	—	By Balance b/d	8,00,000	3,50,000	—
To Balance c/d	9,03,000	3,87,000	4,30,000	By General Reserve A/c	70,000	30,000	—
				By Workmen's Compensation Fund A/c	35,000	15,000	—
				By Cash A/c	—	—	4,30,000
				By Premium for Goodwill A/c	17,500	7,500	—
				By Revaluation A/c (Profit)	17,500	7,500	—
Total	9,57,500	4,10,000	4,30,000	Total	9,57,500	4,10,000	4,30,000

Balance Sheet as at 1st April, 2019

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital Accounts:		Land and Building	3,50,000
Geet	9,03,000	Add: Appreciation	70,000
Preet	3,87,000		4,20,000
Meet	4,30,000	Machinery	4,50,000
	17,20,000	Less: Depreciation	(45,000)
Claim for Workmen's Compensation	50,000		4,05,000
Creditors	1,60,000	Debtors	2,20,000
		Less: Provision	(20,000)
			2,00,000
		Stock	3,60,000
		Cash	5,45,000
Total	19,30,000	Total	19,30,000

Working Notes:

- General Reserve: ₹ 1,00,000 distributed in old ratio (7:3).
 - Geet: $1,00,000 \times \frac{7}{10} = 70,000$
 - Preet: $1,00,000 \times \frac{3}{10} = 30,000$
- Workmen's Compensation Fund: ₹ 1,00,000. Claim 50,000. Balance ₹ 50,000 distributed in old ratio (7:3).
 - Geet: $50,000 \times \frac{7}{10} = 35,000$
 - Preet: $50,000 \times \frac{3}{10} = 15,000$
- Cash brought by Meet:
 - Capital: ₹ 4,30,000
 - Goodwill Premium: ₹ 25,000
 - Total Cash Inflow: ₹ 4,55,000
- Goodwill Premium Distribution: ₹ 25,000 distributed to Geet and Preet in sacrificing ratio (which is old ratio 7:3).
 - Geet: $25,000 \times \frac{7}{10} = 17,500$
 - Preet: $25,000 \times \frac{3}{10} = 7,500$
- Calculation of New Capital for Geet and Preet:
 - Meet's Capital for 1/4th share = ₹ 4,30,000
 - Total Capital of firm = $4,30,000 \times \frac{4}{1} = 17,20,000$
 - New Ratio:
 - Combined share of Geet & Preet = $1 - \frac{1}{4} = \frac{3}{4}$
 - Geet's new share = $(\frac{3}{4}) \times (\frac{7}{10}) = \frac{21}{40}$
 - Preet's new share = $(\frac{3}{4}) \times (\frac{3}{10}) = \frac{9}{40}$
 - Meet's share = $\frac{1}{4} = \frac{10}{40}$
 - New Ratio = 21:9:10

- Geet's adjusted Capital = $17,20,000 \times \frac{21}{40} = 9,03,000$
- Preet's adjusted Capital = $17,20,000 \times \frac{9}{40} = 3,87,000$

- Cash Balance:

- Opening Cash = ₹ 1,50,000
- Add: Cash brought by Meet = ₹ 4,55,000
- Less: Cash paid to Geet (balancing figure) = ₹ 37,000
- Less: Cash paid to Preet (balancing figure) = ₹ 23,000
- Closing Cash = ₹ 5,45,000

CHAPTER-4: Reconstitution of a Partnership Firm: Retirement and Death of a Partner

Revision Notes:

Meaning of Retirement: A partner leaving or separating from a partnership firm. Old partnership agreement ends, new agreement among remaining partners begins.

Preconditions for retirement (Section 32(1) of Indian Partnership Act, 1932):

- Dispute with other partners.
- No interest in commercial/business activities.
- Old age, illness, or physical weakness.
- To pursue other work or profitable business.
- Other reasons.

- A partner can be removed for fraudulent/illegal behavior.

Death of A Partner:

- Partnership ends, but firm may continue with new agreement.
- Legal representative of deceased partner has rights to capital balance, profit till death, salary, commission, interest on capital (if deed permits), goodwill, reserves, and funds.
- Accounting perspective: No distinction from retirement, except death can occur any time. Adjustments are similar.
- Legal perspective: Retiring partner settles own account; deceased partner's accounts settled by legal executor.

Amount Payable to the Legal Executor of the Deceased Partner: (Amounts credited to Executor's Account)

- Credit balance of capital and current account.
- Salary, commission, interest up to date of death.
- Proportionate share in firm's profit till date of death.
- Proportionate share in firm's goodwill.
- Proportionate share in undistributed profits and reserves.
- Proportionate share in profit on revaluation of assets and liabilities.

(Amounts debited to Executor's Account)

- Debit capital balance.
- Drawings and interest on drawings.
- Share of Goodwill written off.
- Share in loss on revaluation.
- Share in undistributed loss.

- Balance of deceased partner's capital account paid to successor: (i) lump-sum, or (ii) instalments.

Legal Provisions Regarding Payment to Successor:

- As per partnership deed.
- If no clear instructions, immediate cash payment.
- If immediate payment not possible (Section 37, Indian Partnership Act, 1932):
 - (i) Interest at 6% p.a. on amount due from death to payment date, OR
 - (ii) Share in profit earned by firm using the amount due from death to payment date.

Gaining Ratio:

- Ratio in which continuing partners receive the share of the retired/deceased partner.

Gaining Ratio = New Profit Sharing Ratio – Old Profit Sharing Ratio

- Retiring partner receives goodwill amount from remaining partners based on this ratio.

Calculation of Gaining Ratio:

- New and old profit sharing ratio given: Subtract old share from new share for each partner.
- New profit sharing ratio not given: Assume remaining partners continue to share in their old ratio, thus gaining in the old ratio.

Example 1: X, Y, Z share profits 3:2:1. X retired. X surrendered 1/4th share to Y, remaining to Z. (i) Calculate new profit sharing ratio of Y and Z. (ii) Gaining ratio of Y and Z.

Ans.: (i) New Share = Old Profit Share + Gaining Share * X's share = $\frac{3}{6} * Y \text{ gains} = (\frac{1}{4}) \text{ of } X's \text{ share} = (\frac{1}{4}) * (\frac{3}{6}) = \frac{3}{24} *$
 Z gains = Remaining of X's share = $(\frac{3}{4}) * (\frac{3}{6}) = \frac{9}{24} *$ Y's new share = Old Y's share + Y gains = $\frac{2}{6} + \frac{3}{24} = \frac{8}{24} + \frac{3}{24} = \frac{11}{24} *$ Z's new share = Old Z's share + Z gains = $\frac{1}{6} + \frac{9}{24} = \frac{4}{24} + \frac{9}{24} = \frac{13}{24} *$ New share of Y and Z = 11:13

(ii) Gaining Ratio = New Profit Share - Old Profit Share * Y's gain = $\frac{11}{24} - \frac{2}{6} = \frac{11}{24} - \frac{8}{24} = \frac{3}{24} *$ Z's gain = $\frac{13}{24} - \frac{1}{6} = \frac{13}{24} - \frac{4}{24} = \frac{9}{24} *$ Gaining ratio of Y and Z = 3:9 = 1:3

Accounting treatment of Goodwill:

- Retiring/deceased partner's share of goodwill is claimed. Gaining partners compensate sacrificing partners.

1. When goodwill is not appearing in the books:

- Credit retiring/deceased partner's capital account with their share of goodwill.
- Debit gaining partners' capital accounts in their gaining ratio.
- Journal Entry:

Gaining Partners' Capital/Current A/cs Dr. (In gaining ratio)
 To Retiring /Deceased Partner's Capital/Current A/c (Share of outgoing partner)
 (Being retiring/deceased partner's share of goodwill debited to gaining partners capital accounts in gaining ratio)

2. When goodwill is already appearing in the books:

- (i) Write off old goodwill: Among all partners in their old profit sharing ratio.

All Partners' Capital /Current A/cs Dr. (In old ratio)
 To Goodwill A/c (Value of old goodwill)
 (Being old goodwill written off among all partners in their old ratio)

- (ii) Adjust new goodwill:

Gaining Partners' Capital/Current A/cs Dr. (In gaining ratio)
 To Retiring /Deceased Partner's Capital/Current A/c (Share of outgoing partner)
 (Being retiring/deceased partner's share of goodwill adjusted in gaining partners' capital accounts)

Hidden Goodwill:

- If a lump-sum is paid to a retiring partner in excess of their adjusted capital, the excess is treated as their share of goodwill.
- Example: A retires, adjusted capital 60,000. B and C pay 90,000. Hidden goodwill = 30,000. Debited to B and C's Capital A/cs in their gaining ratio, credited to A's Capital A/c.

Revaluation of Assets and Reassessment of Liabilities:

- Assets and liabilities revalued to current value.
- Revaluation Account ascertains net gain/loss, transferred to capital accounts of all partners (including retiring/deceased) in their old profit sharing ratio.
- Note:
 - A Profit & Loss Adjustment A/c can be used instead of Revaluation A/c.
 - If old values are to be retained, a Memorandum Revaluation A/c is opened.

Adjustment of Accumulated Profits And Reserves:

- Accumulated profits/reserves: Credited to all partners' capital accounts in their old profit sharing ratio.
- Accumulated losses: Debited to all partners' capital accounts in their old profit sharing ratio.

Determination and Payment of Total Payable Amount to Retiring Partner:

1. Determination of payable amount:

- Retirement on accounting year-end/start: Capital and current account adjusted with revaluation, etc.
- Retirement during accounting year:
 - Balance of capital and current account (last balance sheet).
 - Interest, salary, bonus, commission till retirement date.
 - Share in firm's goodwill.
 - Share in undistributed profit, loss, reserves.
 - Share in profit/loss on revaluation.
 - Share of profit/loss from last balance sheet to retirement date (calculated based on time or sales).

2. Payment of payable amount:

- As per partnership deed (lump-sum, instalments, annuity).

- Lump-sum payment system:
 - From firm's own resources:

Retiring Partner's Capital A/c Dr.
 To Cash /Bank A/c
 (Being the amount due paid to the retiring partner)

By receiving additional amount from remaining partners:

- (a) Cash brought in:

Cash/Bank A/c Dr.
 To Continuing Partners' Capital A/cs
 (Being insufficient cash brought in by the remaining partners)

- (b) Paying lump-sum:

Retiring Partner's Capital A/c Dr.
 To Cash/Bank A/c
 (Being the amount due to the retiring partner paid)

- By payment through bank loan:

Retiring Partner's Capital A/c Dr.
 To Bank Loan A/c
 (Being the amount due to the retiring partner paid)

Instalment payment system: Amount treated as loan, transferred to loan account, paid in instalments with interest (6% p.a. if no rate mentioned). Loan balance shown on liabilities side till paid off.

- (i) Transfer to loan account:

Retiring Partner's Capital A/c Dr.
 To Retiring Partner's Loan A/c
 (Being the amount due to the retiring partner transferred to their loan account)

- (ii) Immediate payment (if any):

Retiring Partner's Loan A/c Dr.
 To Cash/Bank A/c
 (Being payment made as against the loan account of the retiring partner)

- (iii) Interest due:

Interest A/c Dr.
 To Retiring Partner's Loan A/c
 (Being Interest being due on the retiring partner's Loan Account)

- (iv) Instalment payment:

Retiring Partner's Loan A/c Dr.
 To Cash/Bank A/c
 (Being payment made as against the loan account of the retiring partner)

- (v) Transfer interest to P&L:

Profit & Loss A/c Dr.
 To Interest A/c
 (Being interest on the retiring partner's loan account transferred to the profit and loss account)

Adjustment of Capital Accounts (of remaining partners):

- Remaining partners may adjust capitals to new profit sharing ratio.
- Compare final balances with required capitals.
- If capital falls short, partner brings cash:

Cash / Bank A/c Dr.
 To Remaining Partners' Capital A/cs
 (Being the deficient amount brought in by the remaining partners)

- If capital has a surplus, partner withdraws cash:

Remaining Partners' Capital A/cs Dr.
 To Cash /Bank A/c
 (Being surplus amount withdrawn by the remaining partners)

- If surplus transferred to current account:

Remaining Partners' Capital A/cs Dr.
 To Remaining Partners' Current A/cs
 (Being the surplus amount transferred to the current accounts of the remaining partners)

- If deficit adjusted from current account:

Remaining Partners' Current A/cs Dr.
 To Remaining Partners' Capital A/cs
 (Being the deficient amount reimbursed from the current accounts of the remaining partners)

Key Word: Profit and Loss Suspense A/c: The profit of the deceased partner from the beginning of the year till the date of death, is transferred to a special account which is called profit & Loss suspense Account.

Share of Profit of the Deceased Partner: Successor is entitled to profit share from year beginning to death date.

- On the basis of time:
 - Proportionate estimated profit determined for period till death, based on previous years' profits.
 - Deceased partner's share calculated from this.
- On the basis of Sales/Turnover:
 - Ratio of profit to sales (past year/average) applied to sales from year beginning to death date.
 - Profit for that period determined, then deceased partner's share.

Interest on Capital of Deceased Partner:

- As per deed, interest on opening capital till death date may be credited to deceased partner's account.

Amount Payable to a Deceased Partner (Capital Account Proforma):

Particulars	Amount (₹)	Particulars	Amount (₹)
To Undistributed Losses A/c	—	By Balance b/d (Opening Balance)	—
To Revaluation A/c (Loss)	—	By Interest on Capital A/c	—
To Drawings A/c	—	By Salary/Commission A/c	—
To Interest on Drawings A/c	—	By Undistributed Profit and Reserves A/c	—
To Profit & Loss A/c	—	By Goodwill A/c	—
To Deceased Partner's Executor's A/c (Balancing Figure)	—	By Revaluation A/c (Profit)	—
		By Profit & Loss Suspense A/c	—

Example 2: Farhan, Hina, Dolly partners, ratio 5:3:2. Capitals on 1st April, 2016: 5,00,000, 3,00,000, 2,00,000. Dolly died on 5th April, 2016. (a) Goodwill of firm 30,000. (b) Dolly's profit share till death 200. Prepare Dolly's Capital Account.

Ans.: Dolly's Capital Account Dr. Cr.

Particulars	Amount (₹)	Particulars	Amount (₹)
To Dolly's Executor's A/c (Bal. Figure)	2,06,200	By Balance b/d	2,00,000
		By Profit and Loss Suspense A/c	200
		By Farhan's Capital A/c	3,750
		By Hina's Capital A/c	2,250
Total	2,06,200	Total	2,06,200

Working Notes:

- Dolly's share of Goodwill = $(\frac{2}{10}) \times 30,000 = 6,000$
- This 6,000 is distributed between Farhan and Hina in their Gaining Ratio.
 - Since no new ratio is given, gaining ratio is assumed to be the old ratio of continuing partners, i.e., 5:3.
 - Farhan's Capital A/c (debit) = $(\frac{5}{8}) \times 6,000 = 3,750$
 - Hina's Capital A/c (debit) = $(\frac{3}{8}) \times 6,000 = 2,250$

CHAPTER-5: Dissolution of Partnership Firm

Revision Notes:

Meaning of Dissolution of Partnership: Reconstitution of the firm due to:

- Change in profit sharing ratio.
- Admission of a new partner.
- Retirement/death of a partner.
- Insolvency of a partner.
- Completion of venture.
- Expiry of partnership period.
- The firm continues as before.

Meaning of Dissolution of Partnership Firm: The firm closes its business and comes to an end. Assets are sold, liabilities paid, and partners' accounts settled.

- Dissolution of firm necessarily brings dissolution of partnership.
- Dissolution of partnership does not necessarily involve dissolution of firm.

Distinction Between Dissolution of Partnership and Dissolution of Firm:

S. No.	Basis of Difference	Dissolution of Partnership	Dissolution of Firm
(i)	Change in economic relation	Economic relation among different partners is changed.	Economic relation among all partners comes to an end.
(ii)	Termination of business	The business of the firm is not terminated.	The business of the firm is closed.
(iii)	Assets and Liabilities	Assets and liabilities are revalued and new balance sheet is drawn.	Assets are sold and realized, and liabilities are paid off.
(iv)	Closure of books of accounts	It does not require the closing of books because the business is not terminated.	All books of accounts are closed.
(v)	Implication	It does not imply dissolution of firm.	It implies dissolution of the partnership and the firm.

Modes of Dissolution of a Partnership Firm (Sections 40 to 44, Indian Partnership Act, 1932):

- Dissolution by Agreement (Section 40): All partners agree, or as per partnership deed.
- Compulsory Dissolution or Dissolution by the Operation of Law (Section 41):
 - (a) Business becomes unlawful.
 - (b) All or all but one partner declared insolvent.
- Dissolution on the Happening of an Unexpected Event (Section 42):
 - (a) Expiry of period (for fixed-term partnership).
 - (b) Fulfilment of objectives (for specific venture partnership).
 - (c) Any partner declared insolvent.
 - (d) Any partner dies.
- Dissolution by Notice of Partnership at will (Section 43): Any partner gives written notice if partnership is "at will."
- Dissolution by Court (Section 44): Court order on suit by a partner for reasons like:
 - (a) Partner becomes of unsound mind.
 - (b) Partner becomes permanently incapable.
 - (c) Partner guilty of prejudicial conduct.
 - (d) Partner repeatedly violates agreement.
 - (e) Partner transfers/assigns interest to third person.
 - (f) Business cannot be run without loss.
 - (g) Court deems dissolution just and equitable.

Settlement of Accounts (Section 48, Indian Partnership Act, 1932):

- Payment of Losses: First from profits, then capital, lastly by partners individually in profit sharing ratio.
- Distribution of Assets:
 - First, to third parties for firm's debts.
 - Next, to partners for advances (loans) rateably.
 - Then, to partners for capital proportionately rateably.
 - Residue divided among partners in profit sharing ratio.
- Realisation Account:
 - Opened on dissolution to close firm's books.
 - Nominal account.
 - Purpose: Show profit/loss on realisation of assets and payment of liabilities.

Format of Realisation Account: Dr. Realisation Account Cr.

Particulars	Amount (₹)	Particulars	Amount (₹)
To Land and Building	xxx	By Sundry creditors	xxx
To Plant and Machinery	xxx	By Bills payable	xxx
To Furniture and Fittings	xxx	By Bank overdraft	xxx
To Bills receivables	xxx	By Outstanding expenses	xxx
To Sundry debtors	xxx	By Provision for doubtful debts	xxx
To Cash/Bank A/c (Payment of liabilities)	xxx	By Cash/Bank A/c (sale of assets)	xxx
To Cash/Bank A/c (Payment of unrecorded liabilities)	xxx	By Partner's capital account (assets taken by the partner)	xxx
To Partner's capital account (liabilities assumed by the partner)	xxx	By Loss (transferred to partners' capital accounts)	xxx

Particulars	Amount (₹)	Particulars	Amount (₹)
To Profit (transferred to partners' capital accounts in their profit sharing ratio)	xxx		
Total	xxxxx	Total	xxxxx

Accounting Entries (Journal Entries):

Transaction	Journal Entry (Dr./Cr.)
Accounting of assets (Excluding cash & bank)	Realisation A/c Dr. To All Assets A/c (Individual)
Accounting of goodwill on dissolution (If goodwill account exists)	Realisation A/c Dr. To Goodwill A/c
Accounting of undisclosed assets:	
1 On selling in the market	Cash/Bank A/c Dr. To Realisation A/c
1 On taking over by any partner	Partner's Capital/Current A/c Dr. To Realisation A/c
Provisions relating to assets are opened	Provision for Bad Debts A/c Dr. Provision for Discount on Debtors A/c Dr. Investment Fluctuation Reserve A/c Dr. To Realisation A/c
Transfer of debit balance of Profit & Loss A/c	Partners' Capital/Current A/cs Dr. To Profit & Loss A/c
Closing the accounts of various liabilities	Sundry Liabilities A/c Dr. To Realisation A/c
Accounting of undisclosed liabilities:	
(1) If paid by the firm	Realisation A/c Dr. To Cash/Bank A/c
(2) Taking over responsibility by partner	Realisation A/c Dr. To Partner's Capital/Current A/c
Transfer of various reserve funds and credit balance of Profit & Loss A/c	Contingencies Reserve A/c Dr. Reserve Fund A/c Dr. Profit & Loss A/c Dr. To Partners' Capital/Current A/cs
Realising assets	
(1) On sale of asset in cash (with selling price)	Cash/Bank A/c Dr. To Realisation A/c
(2) Asset taken over by any partner (with agreed price)	Partner's Capital/Current A/c Dr. To Realisation A/c
(3) Asset taken over by any creditor (with agreed price)	
(i) Amount due = Value of asset	No Entry needed
(ii) Amount due > Value of asset, difference paid by firm	Realisation A/c (Claim Price—Agreed Price) Dr. To Bank A/c (Claim Price—Agreed Price)
(iii) Amount due < Value of asset, creditors pay excess	Bank A/c Dr. To Realisation A/c
Payment of liabilities	
(1) Liabilities paid by firm	Realisation A/c Dr. To Cash/Bank A/c
(2) Liabilities taken over or paid by any partner	Realisation A/c Dr. To Partner's Capital/Current A/c
Payment of realisation expenses:	
(1) If paid by firm	Realisation A/c Dr. To Cash/Bank A/c
(2) Responsibility by partner	Realisation A/c Dr. To Partner's Capital/Current A/c
(3) Dissolution expenses borne by partner (no firm record)	No Entry needed
(4) If firm incurs expense on behalf of partner	Partner's Capital/Current A/c Dr. To Cash/Bank A/c
Remuneration of dissolution work to partner	Realisation A/c Dr. To Partner's Capital/Current A/c
For closing realisation account	
(1) If debit balance (loss)	Partners' Capital/Current A/cs Dr. To Realisation A/c
(2) If credit balance (profit)	Realisation A/c Dr. To Partners' Capital/Current A/cs
For payment of partner's loan	Partner's Loan A/c Dr. To Cash/Bank A/c
For closing of current accounts:	
(1) If debit balance	Partners' Capital A/cs Dr. To Partners' Current A/cs
(2) If credit balance	Partners' Current A/cs Dr. To Partner's Capital A/cs
For closing of partners' capital accounts:	
(1) Debit balance	Cash/Bank A/c Dr. To Partners' Capital A/cs
(2) Credit balance	Partners' Capital A/c Dr. To Cash/Bank A/c

Key Words:

- Contingency Reserve: Appropriation of surplus retained earnings set aside for possible future losses.
- Realisation Expenses: Expenses incurred during dissolution of partnership firm.

Distinction between Realisation Account and Revaluation Account:

S. No.	Basis of Difference	Realisation Account	Revaluation Account
(i)	Time of Preparation	Prepared at the time of dissolution of the firm.	Prepared when the firm is reconstituted (change in PSR, admission, retirement, death).
(ii)	Objective of Preparation	To find out profit or loss on sale of assets and repayment of liabilities.	To make necessary adjustment regarding revaluation of assets and reassessment of liabilities.
(iii)	Values of Assets and Liabilities recorded	Assets and Liabilities shown at book values; actual payment/realisation amount recorded.	Only the difference between book value and revised values is recorded.
(iv)	Results	No business afterwards.	Firm continues its business.
(v)	Frequency of Preparation	Prepared only once during the life of a firm.	May be prepared at a number of occasions during the life of a firm.
(vi)	Expenses	Usually realisation expenses are shown.	No expenses are shown.
(vii)	Memorandum	No such memorandum account is prepared.	Memorandum Revaluation Account prepared if old values are to be retained.

Treatment of Reserves and Accumulated Profits:

- Undistributed profits/losses and reserves are transferred to partners' capital accounts in their profit sharing ratio, not to the Realisation Account.
- For distribution of reserves or accumulated profits:

General Reserve	Dr.
Reserve Fund	Dr.
Profit & Loss A/c	Dr.
To Partners' Capital A/cs (in profit sharing ratio)	
(Being undistributed profits and reserves transferred to partners' capital accounts)	

- For distribution of accumulated losses:

Partners' Capital A/cs	Dr.
To Profit & Loss A/c	
(Being undistributed losses transferred to partners' capital accounts)	

Partner's Loan Account:

- If a partner gave a loan, it's shown on the credit side of their loan account.
- Paid off after outside liabilities.
- Journal Entry:

Partner's Loan A/c	Dr.
To Cash/Bank A/c	
(Being partner's loan paid off)	
- Note: Partner's loan is paid before partners' capital.

Treatment of Goodwill:

- Treated like other assets.
- If nothing mentioned about its realisation, assume it's valueless and nothing is received.

Cash or Bank Account:

- All receipts on debit, all payments on credit.
- Closed at the end; totals must be equal.
- If both cash and bank balances exist, only one account (Cash or Bank) is prepared.
- For cash deposited into bank:

Bank A/c	Dr.
To Cash A/c	
- For cash withdrawn from bank:

Cash A/c	Dr.
To Bank A/c	

Example 1: Parth and Shivika partners, ratio 3:2. Balance Sheet on 31st March, 2014:

Liabilities	Amount (₹)	Assets	Amount (₹)
Sundry Creditors	80,000	Bank	1,72,000
Shivika's sister's loan	20,000	Debtors	27,000
Capitals:		Stock	50,000
Parth	1,75,000	Furniture	2,20,000
Shivika	1,94,000		
	3,69,000		
Total	4,69,000	Total	4,69,000

Firm dissolved. Assets realized, liabilities paid: (a) 50% furniture taken by Parth at 20% less than book value. Remaining sold for 1,05,000. (b) Debtors realized 26,000. (c) Stock taken by Shivika for 29,000. (d) Shivika's sister's loan paid with 2,000 interest. (e) Realisation expenses ` 5,000. Prepare Realisation Account, Partners' Capital Accounts and Bank Account.

Ans.: Step 1: Calculation of Profit or Loss earned in Dissolution process: In the books of Parth and Shivika Realisation Account Dr. Cr.

Particulars	Amount (₹)	Particulars	Amount (₹)
To Stock A/c	50,000	By Shivika's Sister's Loan A/c	20,000
To Debtors A/c	27,000	By Sundry Creditors A/c	80,000
To Furniture A/c	2,20,000	By Bank A/c (Assets Realised):	
To Bank A/c (Sundry Creditors)	80,000	Furniture (1,05,000)	
To Bank A/c (Sister's Loan + Interest)	22,000	Debtors (26,000)	1,31,000
To Bank A/c (Exp.)	5,000	By Parth's Capital A/c (Furniture)	88,000
		By Shivika's Capital A/c (Stock)	29,000
		By Loss transferred to Partners' Capital A/c:	
		Parth (3/5)	33,600
		Shivika (2/5)	22,400
			56,000
Total	4,04,000	Total	4,04,000

Working Notes for Realisation Account:

- Furniture taken by Parth: 50% of 2,20,000 = 1,10,000. Taken at 20% less: 1,10,000 - (1,10,000 * 20%) = 1,10,000 - 22,000 = ` 88,000.
- Sister's loan paid: 20,000 + 2,000 (interest) = ` 22,000.

Step 2: Preparation of Partners' Capital Account Dr. Cr.

Particulars	Parth (₹)	Shivika (₹)	Particulars	Parth (₹)	Shivika (₹)
To Realisation A/c (Furniture)	88,000	—	By Balance b/d	1,75,000	1,94,000
To Realisation A/c (Loss)	33,600	22,400			
To Bank A/c (Final Payment)	53,400	1,42,600			
Total	1,75,000	1,94,000	Total	1,75,000	1,94,000

Working Notes for Partners' Capital Account:

- Shivika took stock for ` 29,000 (debited to her capital).
- Partner's Capital A/c closing balances are paid through Bank A/c.

Step 3: Preparation of Bank Account Dr. Cr.

Particulars	Amount (₹)	Particulars	Amount (₹)
To Bal. b/d	1,72,000	By Realisation A/c (Loan + Interest)	22,000
To Realisation A/c (Assets realised):		By Realisation A/c (Creditors)	80,000
Furniture	1,05,000	By Realisation A/c (Expenses)	5,000
Debtors	26,000	By Parth's Capital A/c	53,400
	1,31,000	By Shivika's Capital A/c	1,42,600
Total	3,03,000	Total	3,03,000

UNIT 2: Accounting for Companies

CHAPTER-6: Accounting for Share Capital

Topic-1: Introduction

Concepts Covered:

- Concept of a company
- Concept of shares
- Concept of share capital

Revision Notes:

Company: An association of persons contributing money/money's worth for a common purpose. It's an artificial person with a corporate legal entity distinct from its members (shareholders), having a common seal.

Special Features of a Company:

- Body Corporate: Formed under law (e.g., Companies Law in India).
- Separate Legal Entity: Distinct from members, can hold property, enter contracts, open bank accounts.
- Limited Liability: Members' liability limited to unpaid amount of shares (or guarantee amount for companies limited by guarantee).
- Perpetual Succession: Continues to exist regardless of changes in membership (death, insanity, insolvency of members do not affect). Terminated only by law.
- Common Seal: Official signature of the company. Documents without it are not binding.
- Transferability of Shares: Public limited company shares are freely transferable.
- May Sue or be Sued: Can sue and be sued in its own name.

Kinds of Companies:

A. On the basis of liability of its members:

- Companies Limited by Shares: Liability limited to nominal value of shares held.
- Companies Limited by Guarantee: Liability limited to amount guaranteed in case of winding up.
- Unlimited Companies: Creditors can claim dues from members (rare in India).

B. On the basis of the number of members:

- Public Company:
 - Not a private company.
 - Minimum paid-up capital of ` 5 lakh (or higher as prescribed).
 - Not a subsidiary of a private company.
- Private Company:
 - Minimum paid-up capital of ` 1 Lakh (or higher as prescribed).
 - By its articles:
 - Restricts right to transfer shares.
 - Limits members to 50 (excluding employees).
 - Prohibits public invitation for shares/debentures.
 - Prohibits invitation/acceptance of deposits from non-members, directors, relatives.
- One Person Company (OPC): (Sec. 2(62) of Companies Act, 2013)
 - Only one person as a member.
 - Rule 3, Companies (Incorporation) Rules, 2014:
 - Only a natural person (Indian citizen, resident in India) can form.
 - Cannot carry out non-banking financial investment activities.
 - Paid up share capital not more than ` 50 Lakhs.
 - Average annual turnover of three years not exceeding ` 2 crores.

Share: According to Section 2(84) of the Companies Act, 2013, a share means a share in the share capital of a company and includes stock. The capital is divided into equal units; each unit is a share (e.g., 100, 50, 10, 5, ` 1 each).

Classes or Kinds of Shares:

- Preference Shares: (Section 43(b), Companies Act, 2013)
 - Preferential rights:
 - (a) To be paid fixed/fixed rate dividend before equity shareholders.
 - (b) To repayment of capital on winding up before equity shareholders.
 - Types of Preference Shares:
 - (A) On the basis of Arrears of Dividend:
 - (i) Cumulative Preference Shares: Right to receive arrears of dividend in subsequent years.
 - (ii) Non-Cumulative Preference Shares: No right to receive arrears of dividend.
 - (B) On the basis of Share in Profits:
 - (i) Participating Preference Shares: Entitled to share in surplus profit after equity dividends.
 - (ii) Non-participating Preference Shares: Only fixed dividend, no share in surplus profits.
 - (C) On the basis of Convertibility:
 - (i) Convertible Preference Shares: Can be converted into equity shares.
 - (ii) Non-convertible Preference Shares: Cannot be converted into equity shares.
 - (D) On the basis of Redemption:
 - (i) Redeemable Preference Shares: Repayable after a fixed period or earlier (as per Sec. 80).
 - (ii) Irredeemable Preference Shares: No maturity date (not permitted by Companies Act, 2013).
- Equity Shares: (Section 43(a), Companies Act, 2013)
 - Any share that is not a preference share.
 - Carry maximum 'risks and rewards'.
 - Dividend is not fixed, varies with profits.

Share Capital: The capital raised by the company by the issue of shares.

Types of Share Capital:

- Authorised or Registered or Nominal Capital: Maximum capital a company can raise. Stated in Memorandum of Association.
- Issued Capital: Portion of authorised capital offered to the public for subscription.
- Unissued Capital: Portion of authorised capital not yet offered.
- Subscribed Capital: Portion of issued capital subscribed by the public.
- Allotted Capital: Capital allotted to share applicants (cannot exceed issued or applied capital).
- Called-up Capital: Portion of allotted shares called for payment by the company.
- Un-called Capital: Portion of allotted shares not yet called for payment.
- Paid-up Capital: Portion of called-up capital actually paid by shareholders.
- Reserve Capital: Portion of subscribed capital not called-up during lifetime, called up at liquidation (by special resolution).

Private placement: Sale of shares or bonds to pre-selected investors/institutions, not the open market. Employee Stock Option Plan (ESOP): Grant to an employee to buy company shares at a set price. Sweat Equity: Ownership interest or value increase from hard work of owner; a form of compensation.

Topic-2: Accounting Treatment

Concepts Covered:

- Accounting treatment of issue, allotment, forfeiture and re-issue of equity and preference shares
- Disclosure of share capital in company's Balance sheet.

Revision Notes:

Issue of Shares: Amount collected in instalments (application, allotment, first call, second call, final call) or full amount at application.

Important steps: (i) Issue of Prospectus (ii) Receipt of applications (iii) Allotment of Shares

Accounting treatment of Issue of shares for consideration of Cash:

a. Issue of Shares at Par: Issue at face value.

- At the time of Application:

- (i) For receipt of application money:

Bank A/c	Dr.
To Share Application A/c	
(Being application money received on shares @..... per share)	

- (ii) For transferring application money to share capital:

Share Application A/c	Dr.
To Share Capital A/c	
(Being application money transferred to share capital account)	

- (iii) For returning application money on rejected applications:

Share Application A/c	Dr.
To Bank A/c	
(Being application money returned on rejected application for..... shares)	

- At the time of Allotment:

- (i) For making allotment due:

Share Allotment A/c	Dr.
To Share Capital A/c	
(Being allotment due on shares @ per share)	

- (ii) For Adjustment of Excess Application Money to Allotment:

Share Application A/c	Dr.
To Share Allotment A/c	
(Being Money on..... shares @ per shares adjusted to the amount due on allotment)	

- (iii) For receipt of allotment money:

Bank A/c	Dr.
To Share Allotment A/c	
(Being allotment money received)	

- At the time of First Call:

- (i) For making first call due:

Share First Call A/c	Dr.
To Share Capital A/c	
(Being first call money due on ... shares @ per share)	

- (ii) For receipt of first call:

Bank A/c	Dr.
To Share First Call A/c	
(Being first call money received)	

- At the time of Second Call: (Similar entries for subsequent calls)

- (i) For making second call due:

Share Second Call A/c	Dr.
To Share Capital A/c	
(Being second call money due on shares @ per share)	

- (ii) For receipt of second call:

Bank A/c	Dr.
To Share Second Call A/c	
(Being second call money received)	

- At the time of Third and Final Call: (If applicable)

- (i) For making third and final call due:

Share Third and Final Call A/c	Dr.
To Share Capital A/c	
(Being third and final call money due on shares @ per share)	

- (ii) For receipt of Third and Final Call:

Bank A/c	Dr.
To Share Third and Final Call A/c	
(Being third and final call money received)	

- b. Issue of Shares at Premium: Issued at a price higher than face value. The excess is Securities Premium Reserve.

- Securities Premium Reserve (Section 52(2), Companies Act, 2013) can be used only for:

- (i) Issuing fully paid-up bonus shares.
- (ii) Writing off preliminary expenses.
- (iii) Writing off commission/expenses on share/debenture issue.
- (iv) Paying premium on redemption of preference shares/debentures.
- (v) Buy-back of equity shares/other securities (as per Section 68).

- Journal Entries for Premium:

- (1) For making Allotment due with Premium:

Share Allotment A/c	Dr.
To Share Capital A/c	
To Securities Premium Reserve A/c	
(Being amount due on share allotment with premium)	

- (2) For receipt of Allotment Money (after due entry):

Bank A/c	Dr.
To Share Allotment A/c	
(Being share allotment money received)	

- Key Words:

- Share Premium: Amount received by a company for a stock issue exceeding its face value.
- Securities Premium Reserve: Additional amount charged on value of any share when shares are issued, redeemed or forfeited. Fundamental Fact: Berkshire Hathaway is the world's costliest stock, costing you over Rs. 2 crore.

Under-subscription of Shares: Number of shares applied < number offered. Must meet minimum subscription.

Oversubscription of Shares: Number of shares applied > number offered.

- Options for company:

- (i) Full allotment to some, reject others.
- (ii) Pro-rata allotment (proportionate distribution).
- (iii) Combination of above.

Calls-in-Advance:

- Company accepts advance payment from shareholders for calls not yet made (if articles authorize).

Separate Calls-in-Advance A/c is opened.

Adjusted against respective 'Calls A/c' when calls are made.

Company may pay interest on advance (not exceeding 12% p.a.).

Journal Entries:

- (1) For receipt of Calls-in-Advance:

Bank A/c	Dr.
To Calls-in-Advance A/c	
(Being amount received in advance for the ___ call)	

- (2) For adjustment of Calls-in-Advance:

Calls-in-Advance A/c	Dr.
To Share ... Call A/c	
(Being the calls in advance transferred to the ___ call)	

Calls-in-Arrears:

- Unpaid amount of call due within specified period.

Optional to pass separate entry; if instructed, open Calls-in-Arrears A/c.

Journal Entries (if Calls-in-Arrears A/c is opened):

- (1) For Amount unpaid on allotment:

Calls-in-Arrears A/c	Dr.
To ... Share Allotment A/c	
(Being amount not paid accrued on share allotment)	

- (2) For amount unpaid on calls:

Calls-in-Arrears A/c	Dr.
To ... Share... Calls A/c	
(Being amount not paid accrued on share ___ call)	

- (3) For receipt of arrears:

Bank A/c	Dr.
To Calls-in-Arrears A/c	
(Being amount not received on call/allotment duly received)	

Issue of shares for consideration other than cash:

- Acquiring assets, business, or to promoters for services.
- No cash receipt for shares.
- Can be at par or premium.

$$\text{No. of shares to be issued} = \frac{\text{Amount Payable}}{\text{Issued price of share}}$$

Key Word: Promoters: One who decides an idea for setting up a particular business at a given place and carries out a range of formalities required for the setting up a business.

A. Issue of Shares to Promoters:

- For services rendered.

- Entry:

Incorporation Expenses A/c	Dr.
To Share Capital A/c	
(Being fully paid shares issued to the promoters)	

B. Issue of Shares to Vendors:

- For purchasing assets or a business on credit.

- (i) For Purchase of Assets/Business:

- (a) For Purchase of Assets:

Sundry Assets A/c	Dr.
To Vendor's A/c	
(Being assets purchased on credit)	

- (b) For Purchase of Business:

Sundry Asset A/c	Dr.
Goodwill A/c	Dr.
(if purchase consideration > Net Assets)	
To Liabilities A/c	
To Vendor's A/c	
To Capital Reserve A/c (if purchase consideration < Net Assets)	
(Being business purchased)	

- (ii) For Issuing Shares to Vendor:

- (a) At Par:

Vendor's A/c	Dr.
To Share Capital A/c	
(Being fully paid shares issued to vendor)	

- (b) At Premium:

Vendor's A/c	Dr.
To Share Capital A/c	
To Securities Premium Reserve A/c	
(Being shares issued to vendor at premium)	

- (c) At Discount: (Note: Issue of shares at a discount is generally prohibited by Companies Act, 2013, except for sweat equity shares)

Vendor's A/c	Dr.
Discount on Issue of Shares A/c	Dr.
(This entry is generally not applicable for equity shares due to legal restrictions, but shown for conceptual completeness.)	
To Share Capital A/c	
(Being shares issued to vendor at discount)	

Example 1: K Ltd. took over assets of 15,00,000 and liabilities of 5,00,000 from P Ltd. for 13,68,500. 25,500 paid by promissory note. Balance paid by equity shares of ` 100 each at 25% premium. Pass Journal Entries.

Ans.: Step 1. Calculation of profit or loss on purchase of a business:

- Purchase consideration = ` 13,68,500
- Net Assets acquired = Assets - Liabilities = 15,00,000 - 5,00,000 = ` 10,00,000
- Purchase consideration (13,68,500) > Net Assets (10,00,000)
- Difference = 13,68,500 - 10,00,000 = ` 3,68,500 (Debited to Goodwill A/c)

Step 2: Calculation of number of shares to be issued to P Ltd.:

- Total purchase consideration = ` 13,68,500
- Less: Bills payable issued = ` 25,500
- Remaining amount for shares = 13,68,500 - 25,500 = ` 13,43,000
- Face value per share = ` 100
- Premium per share = 25% of 100 = 25
- Issue price per share = 100 + 25 = ` 125
- Number of shares issued = 13,43,000 / 125 = 10,744 shares

Step 3. Journal Entries in the Books of K Ltd.

Date	Particulars	L.F.	Amount Dr. ()	Amount Cr. ()
(i)	Sundry Assets A/c	Dr.	15,00,000	
	Goodwill A/c	Dr.	3,68,500	
	To Sundry Liabilities A/c			5,00,000
	To P Ltd.			13,68,500
	(Being Assets and Liabilities acquired)			
(ii)	P Ltd.	Dr.	13,68,500	
	To Bills Payable A/c			25,500
	To Equity Share Capital A/c			10,74,400
	To Securities Premium Reserve A/c			2,68,600
	(Being promissory note accepted and equity shares issued at a premium of 25% to P Ltd.)			

Forfeiture of Shares:

- When a member fails to pay allotment or calls money within stipulated time, the company can cease membership and forfeit

